



2022

Regional Economic Situationer National Capital Region

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List of Data Providers

Philippine Statistics Authority - National Capital Region

- Gross Regional Domestic Product
- Gross Value Added of Industry and Services Sector
- Growth Rates of GRDP
- Inflation
- Business Establishments
- Labor Statistics (employment, unemployment, and underemployment)
- Investment

Department of Tourism - National Capital Region

- Visitors Arrival (same-day visitors and overnight visitors)

Bangko Sentral ng Pilipinas

- Business Expectations Survey Report

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Economic Profile of the National Capital Region



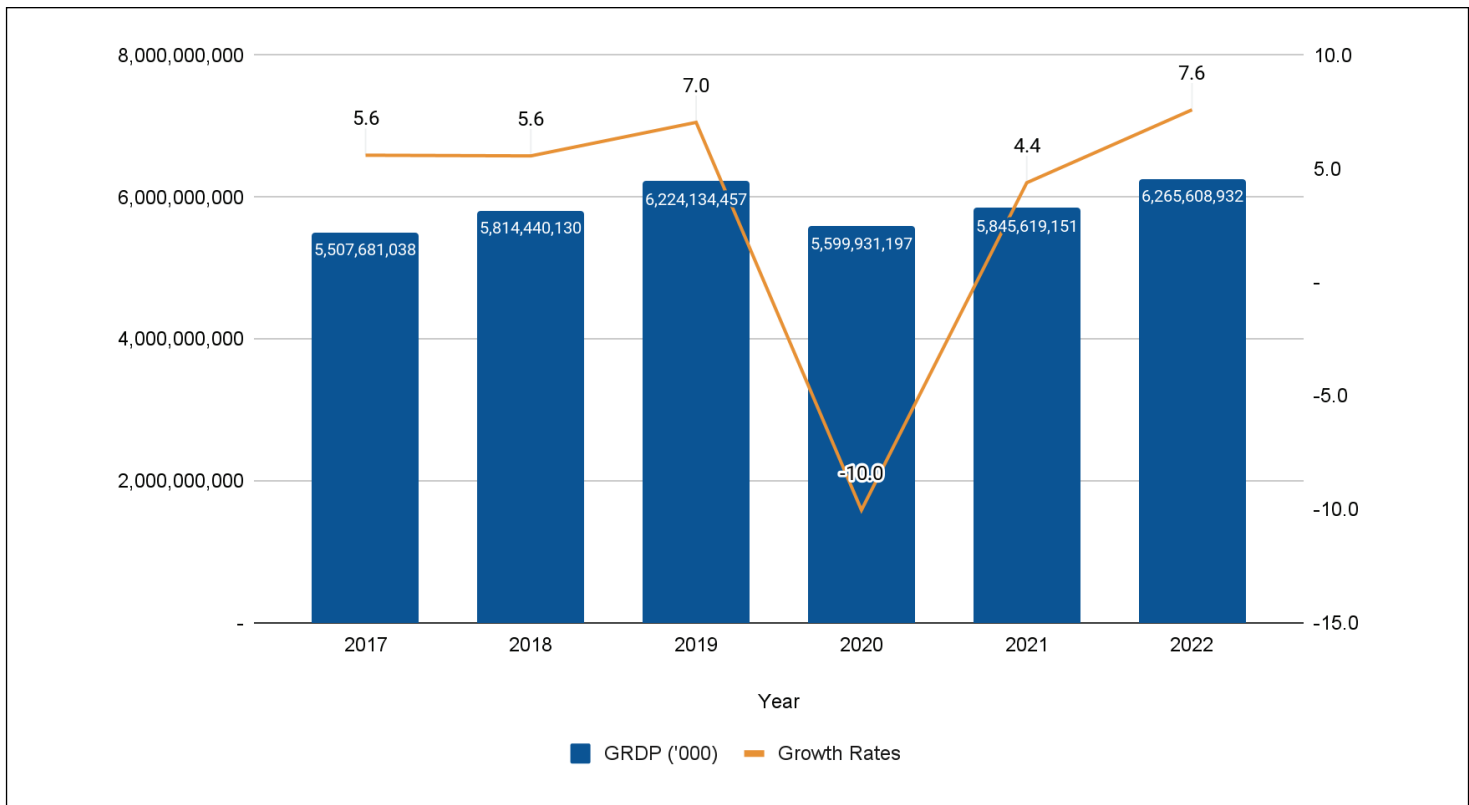
Economic Profile of the National Capital Region

Gross Regional Domestic Product (GRDP)

The NCR's economy further expanded from a 4.4 percent growth rate of PHP 5.8 trillion GRDP in 2021 to a 7.2 percent growth rate of PHP 6.3 trillion GRDP in 2022. It even surpassed the pre-pandemic performance at 7.0 percent growth rate of PHP 6.2 trillion GRDP in 2019 .

This growth is mainly attributed to the expansion of the services and industry sector as the production and operation were back to their pre-pandemic levels with the use and adoption of more digitally-based services. Another factor is the rise in available jobs, increase in employment and decline in the region's unemployment rate, and strong household consumption despite the high inflation as consumers have pent-up demand for products and services.

Figure 1: Gross Regional Domestic Product Levels and Growth Rates, NCR, 2017-2022 (At Constant 2018 Prices)



Source: *Regional Accounts of the Philippines*
Philippine Statistics Authority (PSA)

NCR remains the biggest contributor to the country's economic growth among all regions at 2.3 percent out of the total 7.6 percent growth, as well as the top contributor to the country's total Gross Domestic Product with 31.4 percent. But despite having the highest percent share to the nation's economy, the region's growth is relatively slower than the national growth rate and among other regions, ranking at 11th place out of 17. The region is challenged to implement effective programs, projects, and policies to revitalize and reinvigorate its economic performance.

Agriculture, Forestry, and Fishing (AFF) Sector

AFF sector, despite having the least contribution to the region's economy, has registered the lowest contraction in 2020 with 3.3 percent compared to the 9.1 percent and 13.6 percent of the Services Sector and Industry Sector, respectively. It also recorded the fastest recovery in 2021 with 5.5 percent growth rate and it continued to expand at 3.5 percent growth rate with 0.01 percent share or PHP 434 million in 2022.

Table 1. Share and Growth Rate of the AFF Sector in NCR, 2022

INDUSTRY	GROSS VALUE ADDED ('000)	PERCENT SHARE	GROWTH RATE
Agriculture, Forestry, and Fishing (AFF) Sector	434,213	0.01	3.5

Source: *Regional Accounts of the Philippines*
Philippine Statistics Authority (PSA)

The region is predominantly driven by services and industry sectors, but the AFF sector still holds a crucial role in the development of NCR, having seven (7) Metro Manila Local Government Units (LGUs), namely the cities of Navotas, Taguig, Parañaque, Malabon, Muntinlupa, Las Piñas and Manila, which actively engaged in agriculture-related activities, such as capture fishing, aquaculture, fish vending, processing, trading, and marketing. Further, there are a total of 18,188 registered fisherfolks in 2022.

Industry Sector

The Industry Sector has the second largest contribution to the region's economic output, having 17.9 percent or PHP 1.12 trillion in 2022. It also further accelerated from a 2.7 percent growth rate in 2021 to 3.2 percent in 2022. However, it is still relatively slower than its pre-pandemic performance of 8.1 percent growth rate with 19.7 percent share or PHP 1.23 trillion in 2019.

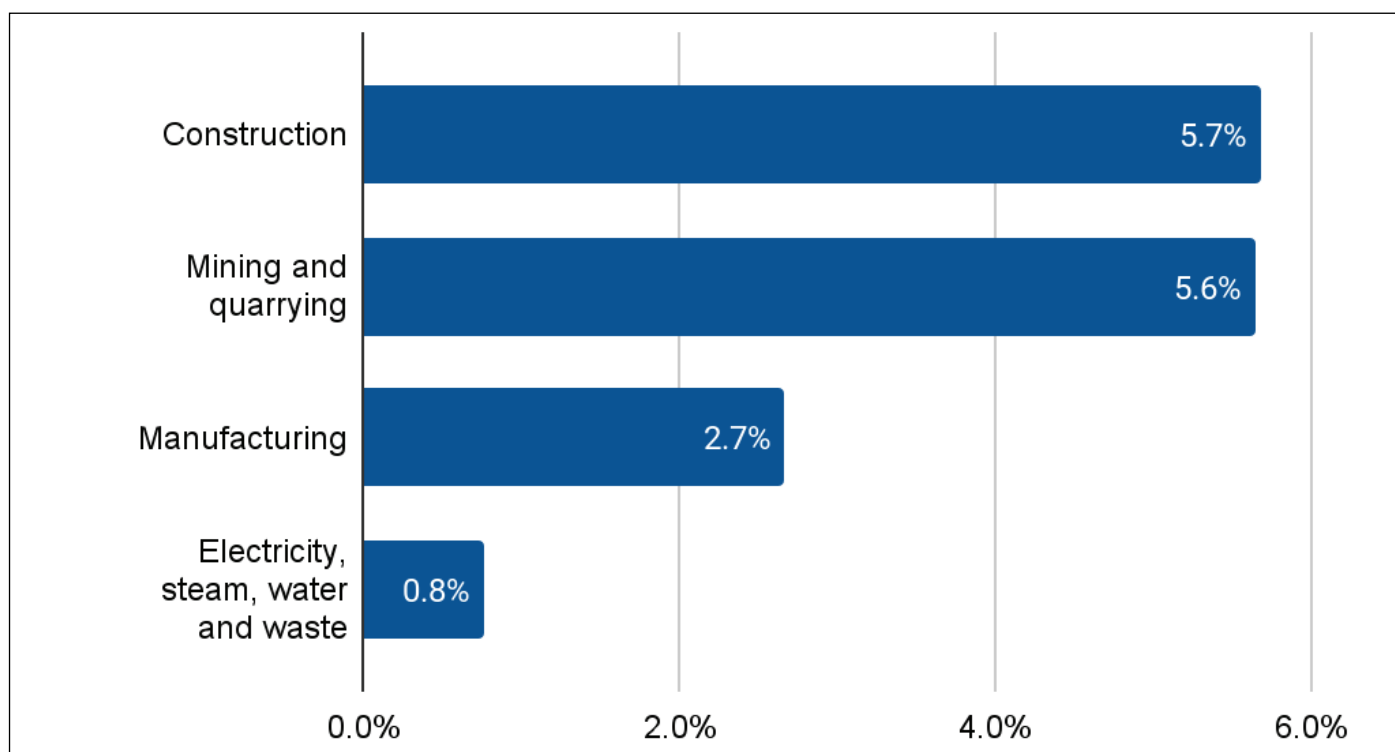
Table 2. Share of Industry Sector by Industry in NCR, 2022

INDUSTRY	GROSS VALUE ADDED ('000)	PERCENT SHARE
Industry Sector	1,124,302,536	17.9
Mining and Quarrying	446,129	0.01
Manufacturing	782,446,640	12.5
Electricity, steam, water and waste management	89,052,289	1.4
Construction	252,357,478	4.0

Source: *Regional Accounts of the Philippines*
Philippine Statistics Authority (PSA)

The construction has the fastest acceleration among its subsectors having a 5.7 percent growth rate, attributed to the continuous infrastructure flagship programs and projects of the government and increase of approved building permits in NCR. It was followed by mining and quarrying at 5.6 percent, manufacturing at 2.7 percent, and lastly, electricity, steam, water and waste management at 0.8 percent in 2022.

Figure 2. Growth Rates in the Industry Sector by Industry, 2021-2022



Source: *Regional Accounts of the Philippines*
Philippine Statistics Authority (PSA)

Services Sector

The Services Sector with a share of 82.0 percent or PHP 5.1 trillion, remains the largest contributor to the NCR's economic output. It also grew faster at 8.1 percent in 2022 from the 4.8 percent growth rate in 2021. It even surpassed its pre-pandemic performance of 6.8 percent growth rate with a percent share of 80.4 or PHP 5 trillion in 2019.

Among its subsectors, the other services, transportation and storage, and accommodation and food service activities have the highest expansion with 35.9 percent, 27.2 percent, and 25.1 percent growth rates in 2022, respectively. This is attributed to the reopening of the economy and normalization of operations, increasing and stabilizing the foot traffic in establishments, and improving the logistics and supply chain of the products and services. Additionally, the pent-up demand of consumers denoting "revenge" spending, especially on travel and tours significantly contributed to the acceleration of the subsectors.

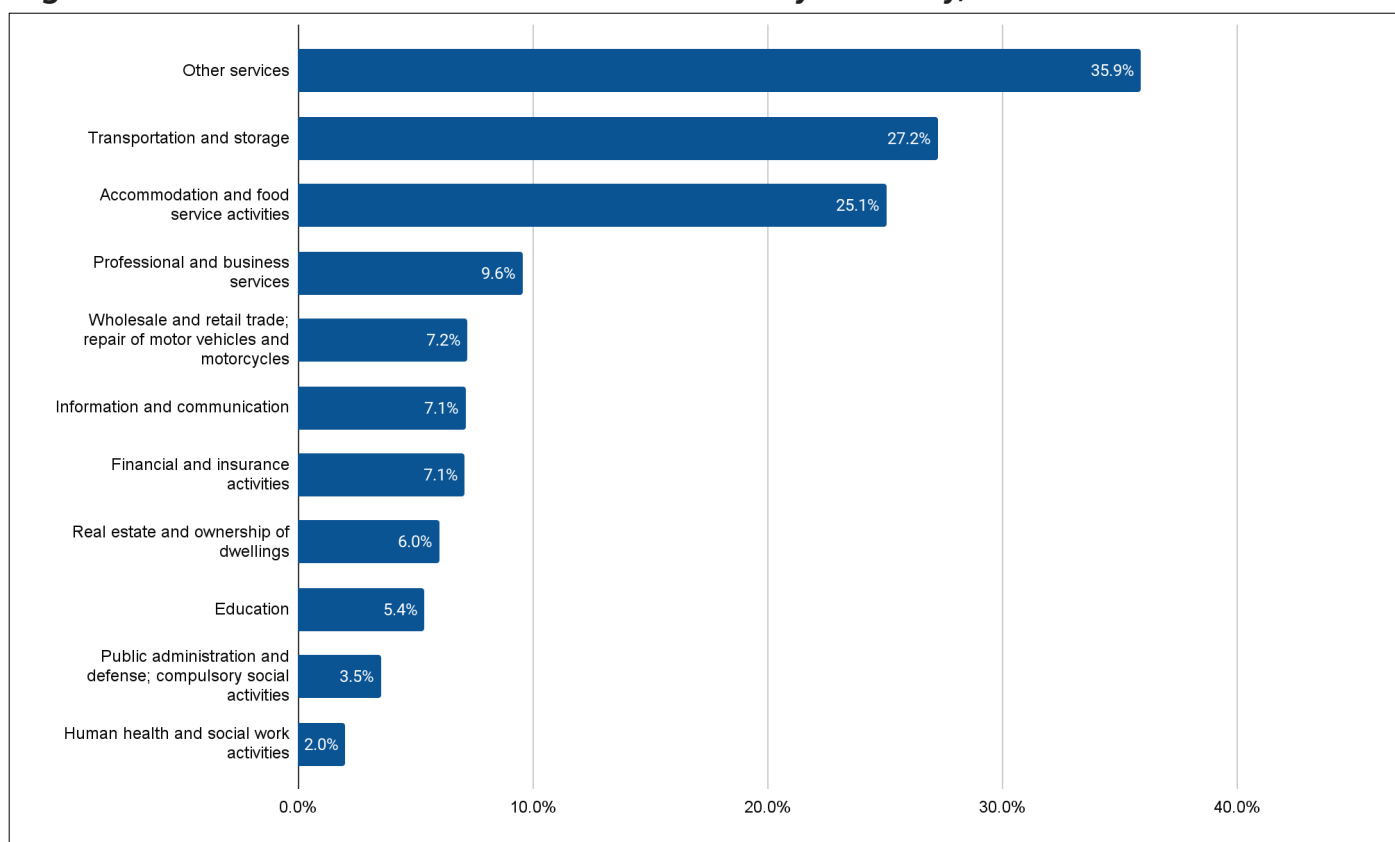
In regards to contribution, the top three subsectors with the biggest contribution to the service sector were 1) wholesale and retail trade; repair of motor vehicles and motorcycles, 2) financial and insurance activities, and 3) professional and business services with 23.0, 19.2, and 12.8 percent share, respectively. Cumulatively, with a total of 55.1 percent, these three (3) subsectors made up half of the services sector output. Seemingly, the region is well known as the country's premier center for finance and commerce.

Table 3. Share of Services Sector by Industry in NCR, 2022

INDUSTRY	GROSS VALUE ADDED (‘000)	PERCENT SHARE TO THE GRDP (%)
Services	5,140,872,183	82.0
Wholesale and retail trade; repair of motor vehicles and motorcycles	1,438,709,219	23.0
Transportation and Storage	149,979,016	2.4
Accommodation and food service activities	64,387,593	1.0
Information and Communication	163,100,285	2.6
Financial and insurance activities	1,205,997,003	19.2
Real estate and ownership of dwellings	385,563,476	6.2
Professional and business services	804,788,789	12.8
Public administration and defense; compulsory social activities	566,089,892	9.0
Education	121,848,180	1.9
Human health and social work activities	115,232,129	1.8
Other services	125,176,601	2.0

Source: *Regional Accounts of the Philippines*
Philippine Statistics Authority (PSA)

Figure 3. Growth Rates in the Services Sector by Industry, 2021-2022



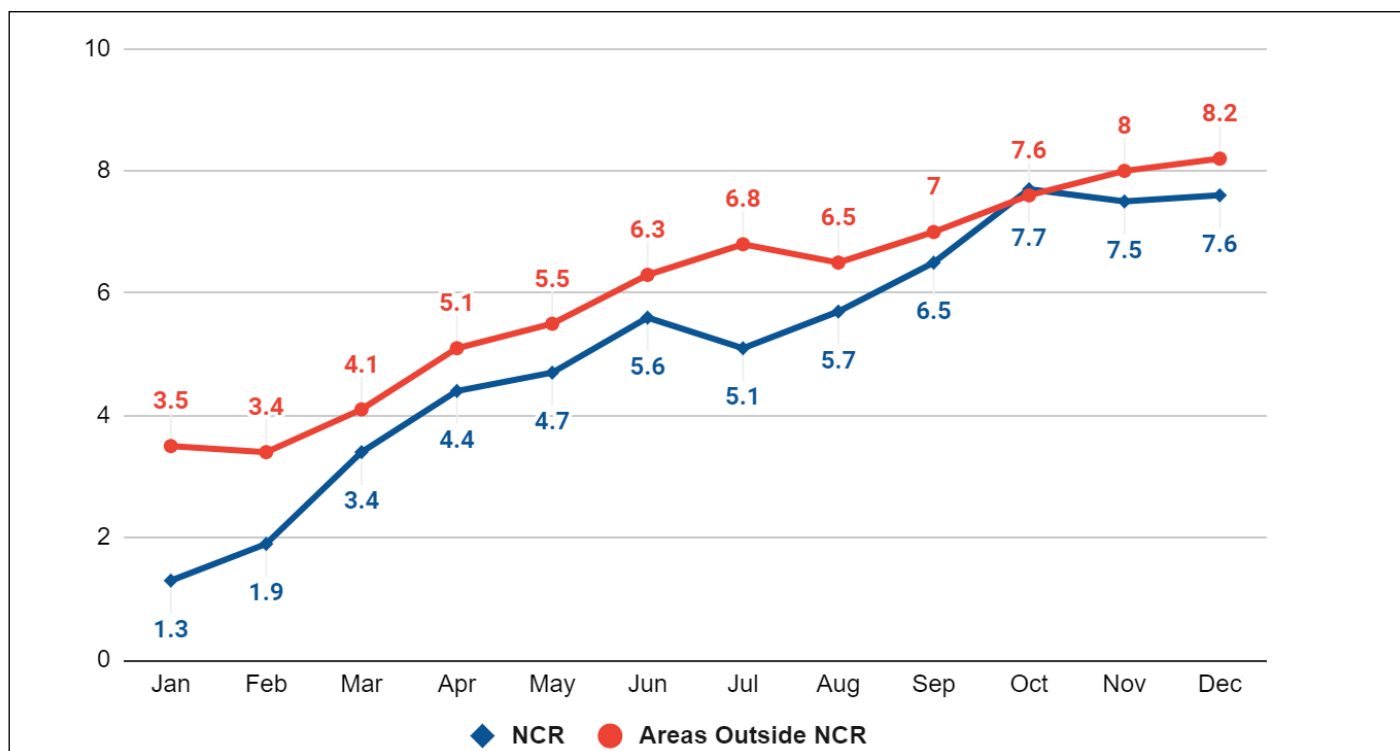
Source: *Regional Accounts of the Philippines*
Philippine Statistics Authority (PSA)

Inflation

NCR's inflation rate has steadily increased from 1.3 percent in January to 7.6 percent in December 2023. On average, the region recorded a 5.1 inflation rate for all the commodity items, which is significantly higher than the 2.7 percent inflation rate posted in 2021.

The inflation rate peaked in the last quarter of the year with an average of 5.1 percent. This may be attributed to the inflationary pressure resulting from the increases in global oil prices, supply-side bottlenecks, as well as the peso's depreciation.

Figure 4. Monthly Inflation Rate for All Items in NCR and Areas Outside NCR, 2022



Source: Retail Price Survey of Commodities for the Generation of Consumer Price Index
Philippine Statistics Authority (PSA)

Among the commodity groups, the inflation rate in transport showed a significant increase from 6.3 to 13.3 percent, mainly due to high global oil prices. Inevitably, local transport groups have petitioned for fare hikes, adjusting a higher minimum base fare for public transportation.

Likewise, housing, water, electricity, gas, and other fuels has accelerated by 4.6 percent, also due to the elevated global oil prices, resulting in upward adjustments in electricity rates. Another factor was the upward adjustment in housing rentals.

Food inflation has also increased compared to last year. The prevalence of animal diseases, such as the African Swine Flu and Avian Influenza, which affected food production and supply, as well as the fuel price hikes kept meat prices elevated. Further, there are surges in the price of some agricultural commodities such as vegetables, partly due to the series of typhoons encountered in the country. This hampered agricultural production which yielded higher prices as retailed.

Likewise, the experienced shortage in domestic sugar supply adds to food price hike as it also affects prices of other commodities that use sugar as input.

Table 4. Average Inflation Rate by Commodity Group in NCR, 2021 and 2022

COMMODITIES	2021	2022
ALL ITEMS	2.7	5.1
Food and Non-Alcoholic Beverages	3.4	5.4
Alcoholic Beverages and Tobacco	8.4	6.4
Clothing and Footwear	0.8	1.7
Housing, Water, Electricity, Gas and Other Fuels	1.9	4.6
Furnishings, Household Equipment and Routine Household Maintenance	1.2	3.1
Health	2.2	1.4
Transport	6.3	13.3
Information and Communication	0.3	0.3
Recreation, Sport and Culture	-0.4	1.5
Education Services	0.2	3.3
Restaurants and Accommodation Services	2.2	5.1
Financial Services	34.5	8.6
Personal Care, and Miscellaneous Goods and Services	1.6	2.1

Source: Retail Price Survey of Commodities for the Generation of Consumer Price Index
Philippine Statistics Authority (PSA)

The increase in the prices of food and energy has eventually affected the prices of other commodities and services, such as restaurants and accommodation services. Moreover, the consumer's pent-up demand for these services also gradually contributes to the price hike. Education services also posted higher inflation with the resumption of on-site classes/ face-to-face learning. Other commodity groups that also showed price increases were furnishings, household equipment and routine household maintenance; clothing and footwear; and personal care, and miscellaneous goods and services.

The financial services inflation eases as the Bangko Sentral ng Pilipinas (BSP) raises its monetary policy interest rate. It aimed to bring inflation back within the target range and to manage inflation expectations by mitigating second-round effects and tempering pressures on the Philippine peso.

Meanwhile, the information and communication sector has maintained its inflation rate while the rest of the commodity groups showed slower price increases.

Employment

In 2022, the labor force participation rate in the region registered 60.5 percent or a total number of 6,202,938 individuals involved in the labor market. It was slightly lower than the 60.8 labor participation rate in 2021 or a total of 6,148,841 individuals.

As the region's economy expanded, labor conditions also improved, posting 94.4 percent or a total of 5,857,248 employed persons in the region. This was further supported by the successive job fairs and caravans of the government in partnership with the private sector. Consequently, as the region's employment improved, unemployed workers became lesser. The unemployment rate has declined from 10.6 percent or 653,905 persons in 2021 to 5.6% percent or 345,797 persons in 2022.

Meanwhile, the underemployment rate also decreased, posting 7.4 percent in 2022 from 10.2 percent in 2021.

Table 5. Labor Force Participation, Employment, Unemployment, and Underemployment Rates in NCR, 2021 and 2022

LABOR FORCE INDICATORS IN NCR	2021	2022
Labor Force Participation		
Labor Force Participation Rate (%)	60.8%	60.5%
Total Number of Labor Force Participation	6,148,841	6,202,938
Employment		
Employment Rate (%)	89.4%	94.4%
Total Number of Employed	5,494,936	5,857,248
Unemployment		
Unemployment Rate (%)	10.6%	5.6%
Total Number of Unemployed	653,905	345,690
Underemployment		
Underemployment Rate (%)	10.2%	7.4%
Total Number of Underemployed	558,896	431,328

Source: Annual Provincial Key Employment Statistics
Philippine Statistics Authority

Note: Details may not sum up due to rounding.

2021 - Final Results

2022 - Preliminary results

Investments

In 2022, NCR's total approved Foreign and Filipino nationals investments further declined with a 82.7 percent change from 2021 to 2022, registering a total of PHP 16.37 billion approved investments, which is significantly lower than the PHP 94.85 billion investments from the previous year.

Filipino nationals' investments had the highest contraction of 87.3 percent with PHP 88.79 billion. Similarly, foreign investments registered a contraction of 16.3 percent, recording PHP 5.06 billion.

Among the regions, NCR recorded the second-largest decline in approved investments. This may be due to the prioritization of the government, as projects under the "Nationwide" classification remained the top recipient of investment pledges in the country. Despite this, the region is ranked 7th among recipients of the approved investment.

Table 6. Approved Foreign and Filipino Nationals Investments in the NCR, 2021 and 2022

INVESTORS	2021	2022	PERCENT CHANGE (%)
Foreign Investments (in million pesos)	6,051.08	5,064.66	-16.3%
Filipino National Investments (in million pesos)	88,794.00	11,300.68	-87.3
Total Investments (in million pesos)	94,845.07	16,365.34	-82.7%

Source: Philippine Statistics Authority (PSA)
Note: Details may not sum up due to rounding

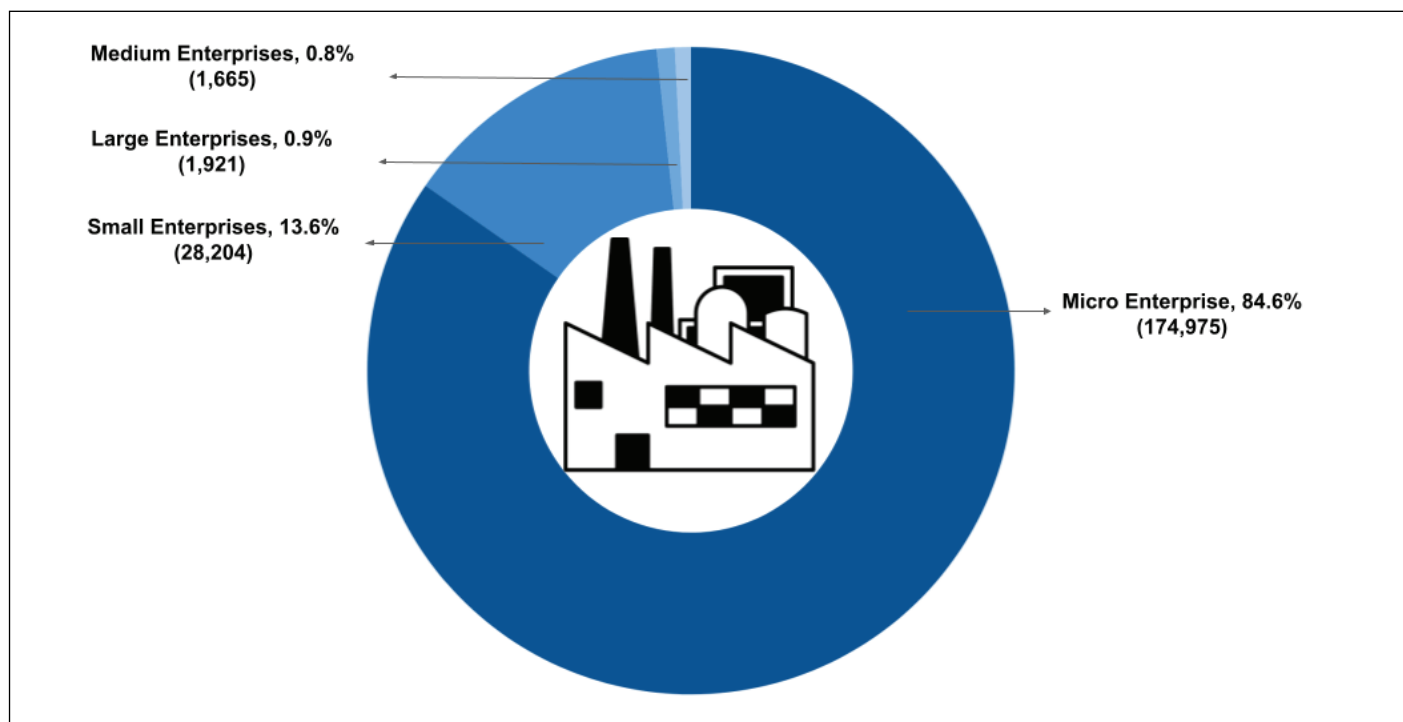
Business Establishments

The business sector in NCR has started to recover from the loss it suffered during the pandemic as opportunities were created and many entrepreneurs joined the market in 2022. A significant increase in the number of total business establishments in the region was observed, recording 206,765 enterprises. It is three (3) percent higher than the 200,554 enterprises recorded in the previous year.

These business establishments comprise of micro, small, medium, and large enterprises with micro establishments contributing the highest percentage share of 84.6 percent, followed by small enterprises (13.6%), medium enterprises (0.8%), and large business establishments (0.9%).

Among the 17 LGUs in the region, Quezon City recorded the highest number of establishments with 51,162 enterprises, followed by the City of Manila (32,454) and the City of Makati (16,194).

Figure 5. Business Establishments by Type, NCR, 2022



Source: 2023 Regional Social Economic Trends (RSET)
Philippine Statistics Authority

In addition, an improvement in the total employment generated by different business establishments in the NCR was observed in 2022, resulting in 2,841,710 employed workers. This represents a 2.16 percent increase from the 2,769,312 workers recorded in the previous year.

Among the business establishments in Metro Manila, the large businesses contributed the highest employment with 49.8 percent share or 1,414,840 workers, followed by small firms (23.9%), micro establishments (18.3%), and medium enterprises (8%). Furthermore, enterprises in Quezon City and the Cities of Makati and Manila generated the highest employment compared to the businesses in other LGUs.

Table 7. Contribution to Employment of Cities and Municipality in NCR, 2022

CITY/ MUNICIPALITY	2022				
	TOTAL	MICRO	SMALL	MEDIUM	LARGE
NCR	2,841,710	519,444	680,561	226,865	1,414,840
Quezon City	667,127	131,391	153,203	47,243	335,290
City of Makati	464,829	40,325	109,845	41,475	273,184
City of Manila	285,605	89,736	73,950	17,494	104,425
City of Pasig	271,328	26,395	62,642	26,002	156,289
City of Taguig	214,637	25,710	32,975	19,258	136,694
City of Mandaluyong	169,134	17,495	30,423	9,646	111,570
City of Parañaque	145,907	26,043	37,011	12,793	70,060
Pasay City	136,076	22,273	26,863	7,198	79,742
City of Muntinlupa	126,323	21,525	28,544	10,038	66,216
City of Caloocan	93,305	39,426	29,989	9,376	14,514
City of Valenzuela	90,990	23,830	37,758	12,139	17,263
City of San Juan	46,082	8,339	14,604	3,677	19,462
City of Marikina	44,380	18,320	14,840	3,689	7,531
City of Las Piñas	35,742	14,552	13,363	2,195	5,632
City of Malabon	30,352	10,050	10,064	3,375	6,863
City of Navotas	16,432	2,540	3,275	802	9,815
Municipality of Pateros	3,461	1,494	1,212	465	290

Source: 2022 Updating List of Establishments
Philippine Statistics Authority

Tourism

Metro Manila promotes urban tourism and utilizes the different urban attractions in the region, such as museums, historical sites and cultural heritage, shopping centers or malls, and food and accommodation establishments, to improve its tourism industry.

In 2022, the NCR recorded a total of 24,177,149 same-day visitors and 5,644,001 overnight visitors which consists of foreign, local, and overseas visitors. The positive changes in these figures constitute more than a hundred percent increase from the previous year and served as proof that the services sector of the region is starting to recover from the economic loss it suffered in recent years. These improvements may be attributed to the continuous effort of the concerned stakeholders to diversify the region's tourism product portfolio and promote safe travels within the NCR.

Table 8. Visitor Arrivals in NCR, 2021-2022

VISITORS	2021	2022
Same day Visitors	2,419,415	24,177,149
Foreign visitors	3,503	94,677
Local Visitors	2,415,912	24,082,472
Overseas Visitors	-	-
Overnight Visitors	2,201,903	5,644,001
Foreign visitors	180,318	1,346,532
Local Visitors	1,885,293	4,213,342
Overseas Visitors	136,292	84,127

Source: Department of Tourism - National Capital Region

Note: Data submissions mainly came from selected cities of the region.

02

Challenges and Prospects



Challenges and Prospects

Inflation

The inflation is projected to decelerate in 2023 with the expected easing of global oil and non-oil prices, as well as the easing of the negative base effects from transport fare adjustment in 2022 and the impact of the cumulative policy rate adjustments of the BSP.

However, with the persistent constraints in the supply of key food items, such as trade restrictions, domestic weather disturbances like typhoons and potential impact of El Niño, and other factors that may lead to higher input prices for production, inflation may cause rise beyond projected.

The monetary authorities' primary instrument to manage inflation is through the interest rates. Higher interest rates may encourage people to spend less and save more, and should reduce the demand for goods and services. Hence, creating a downward pressure on prices. But higher interest rates also means higher cost of borrowing that may decelerate the growth of consumption and investment, and eventually, weaken the expansion of the domestic economy.

Interventions from the National Government to address constraints in the supply of key food items and strengthen farm productivity through providing subsidies, increasing market support, and efforts towards agricultural modernization and resiliency shall be pursued.

Business Establishments

According to BSP's Business Expectations Survey Report for the 4th quarter of 2022, the business outlook of NCR firms turned less optimistic for the next year. This was mainly attributed to the concerns over higher inflation, weaker peso, decline in sales and demand, and higher interest rates. Additionally, the percentage of responding firms that look forward to hiring more people and with expansion plans decreases for the next year. The region is therefore challenged in boosting the business confidence of its firms.

Business establishments in the NCR are predominantly MSMEs. Hence, the identified priority programs, projects, and policy interventions in the Regional Development Plan for the National Capital Region 2023-2028, specifically for the economic sector, will be able to contribute and support the development of Metro Manila's business sector. This includes financial support, innovation and digital transformation, and capacity building, among others. Adoption of e-commerce and digital technologies are highly encouraged for business establishments, especially MSMEs as these are seen as opportunities for growth. It can also provide wider access to the market for business establishments and reduce overall expenses.

Employment

As the business outlook is less optimistic for the next year, the hiring intentions may also turn less favorable, as such affecting the employment situations. Despite this, a sustained growth potential in the labor market may be expected as the country's health situation continues to improve and the economic activities are starting to flourish.

The region acknowledged the persisting and emerging challenges in the labor market, such as skill mismatch and less quality jobs, that have to be addressed. Considering this, the regional plan identified strategies to raise the quality of human resources and ensure that the workforce is equipped and able to adapt to the changing demands of labor in the market, as well as to the digitalization and transition of the country to industry 4.0. Initiatives and efforts on upskilling and reskilling of workforce are pursued to gain higher competencies for the workers by expanding lifelong learning opportunities.

Tourism

The Tourism Industry has a positive outlook for the coming year as the projection for tourist arrivals is expected to continuously increase with the full reopening of the region's economy, leading to less restricted operations of tourism-related establishments. This will be further supported by the implementation of holiday economics to encourage Filipinos to travel, as well as the observed behavior among several people who display eagerness to travel. This will further drive the tourism industry and accommodation services in the region.

In support of a sustainable improvement in the tourism industry, the NCR, led by the Department of Tourism-NCR, has continuously pursued development initiatives which include diversification of tourism product portfolio. It highlights the strengths of the NCR local tourism, empowerment of local governance, formulation and implementation of the Tourism Development Plan with cultural initiatives, continuous promotion of accreditation of the tourism establishments to ensure quality standards are met, and implementation of the Filipino Brand of Service Excellence Program for fostering excellent service to tourists, among others.



03

Acknowledgments

Acknowledgments

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